



Republic of the Philippines
HOUSE OF REPRESENTATIVES
Quezon City, Metro Manila

Twentieth Congress
First Regular Session

HOUSE BILL NO. 4107



Introduced by Representatives JOCELYN P. TULFO and RALPH WENDEL P. TULFO

AN ACT STRENGTHENING PROTECTIONS AGAINST ONLINE FINANCIAL FRAUD AND AI-GENERATED DECEPTIVE CONTENT, ESTABLISHING A NATIONAL CYBER FRAUD FUSION CENTER, IMPOSING DUTIES ON DIGITAL PLATFORMS, TELCOS, AND FINANCIAL SERVICE PROVIDERS, PROVIDING SWIFT CONSUMER REDRESS, AMENDING REPUBLIC ACT NOS. 10175, 11934, 11765, 10173, AND FOR OTHER PURPOSES

EXPLANATORY NOTE

The exponential rise of online fraud presents a grave threat to the financial security of Filipinos and the integrity of the nation's digital infrastructure. Fraudulent schemes, including but not limited to smishing, phishing, account takeovers, SIM-swap attacks, and fraudulent investment solicitations, have become increasingly sophisticated. These criminal activities are frequently facilitated by the malicious use of artificial intelligence to generate "deepfakes" that impersonate public officials, financial executives, and even family members, thereby eroding public trust and causing substantial financial losses. The illicit proceeds are often moved within minutes across various financial conduits—e-wallets, banks, and crypto rails—outpacing the current fragmented and uncoordinated response mechanisms.

While the Philippines has established a legal framework through statutes such as the Cybercrime Prevention Act (Republic Act No. 10175), the SIM Card Registration Act (Republic Act No. 11934), the Financial Products and Services Consumer Protection Act (Republic Act No. 11765), the Data Privacy Act (Republic Act No. 10173), the National Payment Systems Act (Republic Act No. 11127), the E-Commerce Act (Republic Act No. 8792), and the Anti-Money Laundering Act (Republic Act No. 9160), critical gaps remain that hinder effective prevention and redress:

1. **Fragmented Response.** There is no single, centralized 24/7 fusion center with the authority to ensure rapid fund freezing, content takedown, and real-time cross-agency action.
2. **Lack of Uniform Standards.** Baseline duties for covered intermediaries—including digital platforms, telecommunication companies, and financial institutions—are uneven, leading to inconsistent application of safety measures to detect, label, and remove fraud-enabling deepfakes.
3. **Inefficient Redress.** Victims face slow reversals and unclear pathways for restitution, prolonging their losses and undermining consumer confidence.

4. **Insufficient Protections.** Existing SIM-swap and port-freeze protections are inadequate to prevent unauthorized account access.
5. **Unclear Liability.** There is an absence of explicit shared liability for intermediaries whose gross negligence substantially enables fraud.
6. **Inconsistent Regulation.** The regulatory treatment of crypto-asset conduits used to dissipate fraudulent proceeds is inconsistent, allowing cybercriminals to exploit these channels with impunity.

This bill aims to close these gaps and fortify the nation's defenses against online fraud by:

- **Creating a National Cyber Fraud Fusion Center (NCFFC)** under the Department of Information and Communications Technology (DICT) with a 24/7 one-stop portal, real-time intelligence sharing, the power of rapid preservation and freezing, and a mandate for international coordination.
- **Imposing clear, risk-based safety controls** on covered intermediaries, including Know-Your-Counterparty (KYCP) requirements for merchants and paid solicitations, multi-factor authentication (MFA), anomaly detection, and a four-hour takedown window for manifest scams and deepfakes.
- **Streamlining rapid fund freezing and restitution** with an explicit provision for shared liability for grossly negligent intermediaries to ensure victims can be made whole.
- **Strengthening SIM-swap defenses** through mandated port-freeze options, multi-channel alerts, live-ID checks, and periodic re-validation.
- **Hardening obligations for crypto-asset providers (VASPs)** to implement blockchain analytics, address-screening, geofencing, and freezing upon lawful process.
- **Clarifying offenses and penalties** for operating mule networks, committing fraudulent SIM-swaps, and perpetrating deepfake-enabled financial crimes—while scrupulously preserving the constitutional rights to due process, privacy, and free expression.

This measure is designed to be forward-looking and technology-neutral, focusing on harmful conduct and reasonable safety standards rather than on specific technologies. This adaptability ensures that the law remains relevant as criminal tactics and digital tools evolve. Furthermore, by providing victims with a single reporting window, clearer timelines, and coordinated reversal mechanisms, the bill reduces friction and streamlines the recovery process without displacing existing civil and criminal remedies.

In view of the foregoing, the immediate passage of this bill is earnestly sought.


HON. JOCELYN P. TULFO
Representative, ACT-CIS PARTYLIST


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Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled

SECTION 1. Short Title.

This Act shall be known as the "Online Fraud and AI-Deception Prevention Act."

SEC. 2. Declaration of Policy.

It is the policy of the State to (a) protect consumers and the integrity of the financial system from online fraud, scams, and identity theft; (b) deter the malicious use of artificial intelligence to fabricate deceptive content (deepfakes) that facilitates crime or public harm; (c) ensure rapid cross-agency response; and (d) require reasonable, risk-based safety, authentication, and takedown measures from covered intermediaries while upholding constitutional rights to privacy, free speech, and due process.

SEC. 3. Definitions.

As used in this Act:

(a) **Online Financial Fraud** – Any scheme conducted through information and communications technologies (ICT) to unlawfully obtain money, property, data, or access credentials, including social-engineering, phishing/smishing/vishing, account takeover, SIM-swap, fake investment solicitations, mule-account operations, synthetic-ID fraud, and unauthorized electronic fund transfers.

(b) **AI-Generated Deceptive Content (Deepfake)** – Audio, image, or video materially altered or synthetically generated by automated means to falsely depict a person’s identity, voice, likeness, or endorsement, where such content is used to: (1) obtain a monetary or digital asset; (2) compromise security; (3) impersonate a

public official or institution; or (4) materially mislead the public regarding a financial solicitation or service.

(c) **Covered Intermediaries** – Digital platforms (social media, marketplaces, messaging, content-sharing), telecommunication companies (telcos) and public telecommunication entities (PTEs), e-wallets, banks and other financial institutions (POFIs), virtual asset service providers (VASPs) and cryptocurrency exchanges, payment system operators, and domain/hosting providers operating in or serving users in the Philippines.

(d) **High-Risk Account** – An account exhibiting fraud typologies identified by the National Cyber Fraud Fusion Center (NCFFC) under Sec. 4.

(e) **Rapid Preservation** – The immediate, non-reversible freezing of suspected proceeds, mule accounts, or related content for a period not exceeding seventy-two (72) hours upon the issuance of a preservation order by the NCFFC based on a sworn complaint and a finding of probable cause. This preservation is intended to prevent the dissipation of assets pending the securing of a judicial freeze order.

(f) **Mule Network** – A group or system of bank accounts, e-wallets, or other financial accounts used as conduits for the fraudulent transfer, layering, or concealment of illicitly obtained funds.

SEC. 4. National Cyber Fraud Fusion Center (NCFFC).

(a) Establishment.

A permanent NCFFC is hereby created under the Department of Information and Communications Technology (DICT) as an inter-agency task and data-sharing hub composed of DICT, Bangko Sentral ng Pilipinas (BSP), National Privacy Commission (NPC), National Bureau of Investigation-Cybercrime Division (NBI-CCD), Philippine National Police-Anti-Cybercrime Group (PNP-ACG), Securities and Exchange Commission (SEC), National Telecommunications Commission (NTC), Department of Justice (DOJ), Department of Migrant Workers (DMW), Department of Foreign Affairs (DFA), and other agencies as needed.

(b) Functions.

(1) Real-time coordination, threat intelligence, and takedown referrals for online fraud and deepfakes. (2) Operation of a 24/7 One-Stop Consumer Portal (hotline, web, mobile) for reporting, status-tracking, and coordinated freezing requests. (3) Issuance of official Typology Advisories and Risk Flags to covered intermediaries, which shall be considered in evaluating compliance with their duties under this Act. (4) Management of a secure Fraud Indicators Repository (hashes, models, mule patterns) with privacy-by-design safeguards. (5) International cooperation and Mutual Legal Assistance (MLA) requests for cross-border recovery.

(c) Data Governance.

Sharing shall be limited to fraud-mitigation purposes with role-based access, audit logs, and retention limits consistent with Republic Act No. 10173, otherwise known as the Data Privacy Act of 2012.

SEC. 5. Duties of Covered Intermediaries.

(a) Know-Your-Counterparty (KYCP).

1 Platforms enabling financial solicitations, marketplace sales, or paid promotions
2 shall verify Philippine business registration and beneficial ownership for merchants
3 or investment-soliciting pages; display verified badges and legal names; and
4 maintain a public reporting channel.

5 **(b) Risk-Based Account Integrity Controls.**

6 Implementation of risk-based multi-factor authentication; SIM-swap alerts and port-
7 freeze options; velocity limits for new payees; confirmation holds for first-time, high-
8 value outward transfers; and anomaly detection for mule activity.

9 **(c) Content and Identity Abuse Response.**

10 Implementation of hash-matching and model-based detection for known scam
11 assets and deepfakes; rapid labeling of suspected AI-generated media as
12 “synthetic/altered”; and a four-hour takedown window upon lawful NCFFC referral
13 for clearly fraudulent content or cloned pages.

14 **(d) Incident Support.**

15 Providing victims with dispute channels, case IDs, and human review; and
16 maintaining a Philippine contact point reachable 24/7.

17 **(e) Transparency.**

18 Semi-annual public Fraud Risk Reports with metrics on reports received,
19 takedowns, disputes, reversals, and consumer education reach.

20 **(f) Consumer Education.**

21 Covered intermediaries shall implement and promote regular, accessible, and multi-
22 channel consumer education campaigns on online fraud prevention, deepfake
23 detection, and safe digital practices, in coordination with the NCFFC.

24 **SEC. 6. Rapid Fund Freezing and Return.**

25 **(a) Freezing.**

26 Upon a sworn complaint and a finding by the NCFFC of probable cause that a
27 financial account holds proceeds of a fraudulent scheme, the receiving institution
28 shall immediately freeze said funds for up to seventy-two (72) hours and notify the
29 depositor/holder. Within said period, law enforcement shall secure a judicial freeze
30 order.

31 **(b) Reversal and Restitution.**

32 Where funds are traceable and uncontested or by order of a competent authority,
33 institutions shall process expeditious reversals to the victim, without prejudice to the
34 civil or criminal liability of offenders.

35 **(c) Shared Liability.**

36 In cases where the gross negligence of a covered intermediary, as determined by
37 a competent administrative agency or a court of law, substantially enabled the loss,
38 said intermediary may be held proportionately liable for restitution to the victim,
39 subject to due process.

SEC. 7. Anti-Money Laundering (AML) and Beneficial Ownership.

- (a) Online financial fraud and large-scale deepfake-enabled fraud are hereby expressly recognized as predicate offenses under Republic Act No. 9160, otherwise known as the Anti-Money Laundering Act of 2001, as amended.
- (b) Covered intermediaries shall implement enhanced due diligence for High-Risk Accounts and promptly file Suspicious Transaction Reports (STRs) to the Anti-Money Laundering Council (AMLC).

SEC. 8. SIM-Related Protections and One-SIM-One-ID Safeguards.

- (a) Telcos shall provide port-freeze and SIM-swap delay options; and notify subscribers via multi-channel alerts prior to SIM swaps or high-risk changes.
- (b) Republic Act No. 11934, otherwise known as the SIM Card Registration Act, is hereby amended to mandate periodic re-validation for bulk/enterprise SIMs and require verifiable live identity checks for SIM replacement.
- (c) Unauthorized SIM-swap to facilitate online fraud is penalized under Sec. 11.

SEC. 9. Crypto and Digital Assets.

VASPs shall (a) geofence non-compliant counterparties; (b) implement blockchain analytics and address-screening; (c) honor NCFFC freezing referrals subject to lawful process; and (d) provide consumer-grade warnings for transfers to flagged addresses.

SEC. 10. Investment Solicitations and Clone Pages.

- (a) Platforms shall block paid ads and boosted posts for unlicensed investment solicitations and promptly remove clone sites/pages of regulated entities upon NCFFC referral.
- (b) The SEC may order platforms, registrars, and hosts to suspend domains or pages used for illegal investment solicitations, with prompt judicial review.

SEC. 11. Offenses and Penalties.

Without prejudice to Republic Act No. 10175, otherwise known as the Cybercrime Prevention Act of 2012, and other existing laws:

- (a) Operating a Mule Network (managing or renting accounts for fraud): *prisión correccional* to *prisión mayor* and a fine of ₱500,000–₱2,000,000 per network tier involved; proceeds shall be forfeited in favor of the government.
- (b) Unauthorized SIM-Swap for Fraud: *prisión correccional* and a fine of ₱200,000–₱1,000,000; the penalty shall be higher by one degree if committed by an insider of a telco or intermediary.
- (c) Deepfake-Enabled Financial Fraud: The penalty for *estafa* qualified by ICT use under RA 10175 shall be increased by one degree; mandatory restitution and takedown.
- (d) Platform Non-Compliance with Sec. 5 or 10 (willful or grossly negligent): Administrative fines by the relevant regulatory body, up to the greater of

1 ₱50,000,000 or 2% of Philippine-sourced revenue. Repeat violations may trigger
2 the suspension of operations related to the offending feature.

3 (e) Obstruction (refusal to preserve, alter, or delete logs post-lawful request):
4 Penalties under RA 10175 and contempt sanctions.

5 **SEC. 12. Due Process, Privacy, and Free Expression.**

6 Measures under this Act shall be narrowly tailored, content-neutral where feasible,
7 and subject to notice, adversarial challenge, and judicial oversight. All takedown,
8 freezing, or suspension orders are subject to judicial review as provided for by law.
9 Labeling of synthetic media is not a prior restraint and shall not apply to satire, art,
10 or public-interest uses absent intent to defraud or cause material harm.

11 **SEC. 13. Appropriations.**

12 The amount necessary for the effective implementation of this Act shall be sourced
13 from the appropriations of the Department of Information and Communications
14 Technology (DICT) in the annual General Appropriations Act.

15 **SEC. 14. Implementing Rules and Regulations (IRR).**

16 Within ninety (90) days from effectivity, DICT, in consultation with BSP, NPC, NBI,
17 PNP, SEC, NTC, DOJ, and stakeholders, shall promulgate the IRR.

18 **SEC. 15. Separability Clause.**

19 If any provision of this Act is declared unconstitutional, the remainder of the Act or
20 the provision not otherwise affected shall remain valid and subsisting.

21 **SEC. 16. Repealing and Amending Clause.**

22 Inconsistent provisions of Republic Act No. 10175, Republic Act No. 11934,
23 Republic Act No. 11765, Republic Act No. 10173, Republic Act No. 11127, Republic
24 Act No. 8792, and related issuances are hereby amended or repealed accordingly.

25 **SEC. 17. Effectivity.**

26 This Act shall take effect fifteen (15) days after its publication in the Official Gazette
27 or in a newspaper of general circulation.

28 *Approved,*